

The next \$4,650 (the difference between your AGI of \$40,000 and \$35,350) at 25 percent = \$1,162.50.

That means your total tax burden would be $\$870 + \$3,997.50 + \$1,162.50 = \$6,030.00$.

Your effective tax rate (or average tax rate) is the tax rate you actually pay on your total income, considering that part of your income isn't taxed at all due to exemptions and the standard deduction or itemized deductions, and that part of your income may fall in different tax brackets. To calculate your effective federal tax rate, divide your total federal income taxes for the year (from your latest tax return) by your total income. If your marginal rate is 25 percent, your effective tax rate may be between 15 and 17 percent.



If all this talk about marginal tax rates seems confusing, just remember that if your marginal rate is 25 percent, then 25 percent of any additional earnings will go to the IRS, and additional tax-free or tax-deferred deductions will produce savings of 25 percent. This is important information for tax planning.

Your marginal tax rate is the rate you pay on your highest dollars of income. Look up your total income (including capital gains, interest income, and so on) in the tax bracket table. Your marginal rate is the percentage shown in the column that your total income falls into. For example, if your income is \$40,000, your marginal tax rate in 2012 is 25 percent. Your marginal tax rate tells you two important things: how much you'll gain by reducing your taxable income, and the true after-tax cost of a tax-deductible expense.

For example, if you want to increase your tax-deferred contributions to your employer's 401(k) plan by \$100, you could quickly calculate your real out-of-pocket expense by using your marginal tax rate of 25 percent and your state tax rate, which we'll assume is 6 percent for purposes of the example. Since 401(k) contributions aren't subject to federal or (in most states) state taxes, the \$100 could go into your account with only \$69